

1 **In India, jewellery and watches had the largest share of affluent buyers spending more than ₹2 lakh a year**

2 **Consumers are also looking beyond imported whisky towards Indian single malts**

lion Swiss francs (around ₹2,667 crore at current exchange rates) in the first eight months of 2026, according to the Federation of the Swiss Watch Industry, while worldwide exports grew only 1.7%, making India the industry's 14th-largest market, up from 21st in the same period last year.

India's trade agreement with the European Free Trade Association, in force since October 2025, envisages bringing down the import duty on Swiss watches to zero in seven annual steps, only two of which have taken effect so far, but buyers are moving up, according to Ethos, India's largest luxury watch retailer.

"Existing collectors are upgrading to more complex and exclusive pieces, while new entrants are entering at higher price points," says Pranav Saboo, Managing Director of Ethos. Clients who owned one or two watches a decade ago now buy across brands and price segments, he says. "A collector mindset is emerging." The watch has become "a collectible, a personal expression and, in some cases, a store of value." It shows in Ethos's numbers. In the year to March 2026, its average selling price rose 22.9% to ₹2.07 lakh, while revenue grew 28.8% to ₹1,612 crore.

Trading up rarely moves in a straight line. Pernod Ricard, which sold Imperial Blue, India's third-largest whisky by volume, to Tilaknagar Industries last year to focus, in part, on premiumisation, says the ladder is uneven. "Premiumisation is not a neat ladder where consumers simply graduate from one price point to another," says Debasree Dasgupta, chief marketing officer of Pernod Ricard India. A consumer may also move sideways, between brands and categories, depending on the occasion. "A Jameson consumer may equally choose Chivas or The Glenlivet, not necessarily as a replacement, but as part of a broader repertoire."

Overall, Indians are drinking less. Spirits volumes fell about 3% in FY26, after a 2% fall the year before, according to ICRA, which expects a further 4–6% drop this year. It still expects revenue at the alcobev companies it tracks to grow 10–12%, helped by higher prices and a move towards premium and prestige labels.

Consumers are also looking beyond imported whisky towards Indian single malts. Imported spirits were long the benchmark of prestige, says Dasgupta, but Indian single malts such as Pernod's own



"The demographic shift, followed by broader economic change, is driving premiumisation across categories and segments"

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